

Though this cost seems like nothing in comparison to the rest of your mortgage, a couple hundred dollars a month can make a big difference. Annual property taxes are public knowledge, so they can be found unofficially on any property listing site or officially from your city or county's tax records.

The fourth and final part of PITI is insurance, which refers to your homeowner's insurance. As long as you have a mortgage, your lender requires that you have a home insurance policy. This amount is included in your mortgage payment because—similar to the property tax escrow—you typically pay the monthly cost of home insurance to your lender, who then passes the money along to your insurer. This means you can't sneak your way out of paying it, and you wouldn't want to anyway. Trust us.

The cost of homeowner's insurance can also vary depending on your home, your insurer, and your policy—but just to give you a general idea, the average insurance premium rings in at about \$1,200 per year.

Some insurance carriers have made it common practice to dramatically increase second-year insurance rates. If your insurance goes up in year two, call them to ask why. If you don't like the answer, shop around for a new insurance provider. Your lender doesn't care which insurance company you choose, so long as you are fully insured.

LOAN TYPES

There are multiple loan programs available that you can use to purchase your home. Each one has its own pros and cons, and some have special qualifications. Sellers can also choose to accept some or all of the loan types available, which will be noted in the property listing itself. (If you love the house but the listing states you can't use your type of loan, have your agent reach out to ask whether this was an oversight. It never hurts to ask.)

Though your lender can answer any specific questions you have on which loan will be best, they might not propose something like a VA or USDA loan unless you suggest it outright. Those loans have special qualifications and not everyone—or every property—will qualify. Let's do a brief walk-through of the basic options so you know what's available.